TD SECURITIES (USA) LLC

September 11, 2026

Price: $248.83 (09/10/2026)
Price Target: $245.00

HOLD (2)

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Key Data

Symbol	NASDAQ: ADBE
Beta:	1.42
52-Week Range:	$367.46-$193.41
Market Cap:	$98.9B
Net Debt (MM):	$724.0
Cash/Share:	$25.57
Dil. Shares Out (MM):	395.0
Enterprise Value (MM):	$101,468.7
BV/Share:	$28.87
Dividend:	$0.00
Yield:	0.0%

FY (Nov)	2025A	2026E	2027E
EPS			
Q1	$5.08	$6.06A	$6.80
Prior Q1	-	-	*$6.94*
Q2	$5.06	$5.96A	$6.67
Prior Q2	-	-	*$6.66*
Q3	$5.31	$6.14A	$6.90
Prior Q3	-	*$6.07*	*$6.73*
Q4	$5.50	$6.34	$7.01
Prior Q4	-	*$6.28*	*$6.91*
Year	$20.94	$24.49	$27.38
Prior Year	-	*$24.37*	*$27.22*
P/E	11.9x	10.2x	9.1x
Excludes non-recurring and stock compensation expenses.			
Consensus EPS	$20.94	$24.42	$27.48
Consensus source: FactSet			

Revenue (MM)			
Year	$23,769.0	$26,620.7	$28,679.1
Prior Year	-	*$26,574.0*	*$28,613.0*

ESTIMATE CHANGES

Mixed 3Q; Freemium Gaining Traction, But Monetization Still Unproven

THE TD COWEN INSIGHT

ADBE beat on revenue but ARR missed and cRPO saw meaningful deceleration. The freemium strategy is driving strong growth in MAUs (+25% Y/Y vs +20% last qtr) but ADBE remains more focused on free user adoption rather than monetization. We see this construct as continuing to lead to organic deceleration in the qtrs ahead before potential new rev dials can be turned. Reiterate Hold & PT of $245.

Key Points

- **Mixed 3Q:** NNARR declined 38% Y/Y, below our estimate for a -26% decline. Organic rev growth of 10% cc was above our 8% est, with outperformance in both C&MP (+9% cc organic vs. our +8% est) and BP&C (+15% cc vs. our +13% est). Priority remains on driving MAU growth and AI usage intensity before shifting toward monetization. Op margin of 44.0% was in line, but declined 230bps Y/Y as GM pressure (-100bps) from AI/cloud investments and higher R&D (+230bps) more than offset S&M efficiencies (-140bps). cRPO growth of 9% cc (vs. 12% last qtr) was a notable deceleration, though mgmt attributed this to typical intra-year seasonality ahead of a 4Q step-up & newer SKUs increasingly on M/M billing.
- **Mixed Guide:** FY26 ARR guide was reiterated at 10.2%, but we note this now includes the acq of Topaz Labs, which we estimate at ~$50m ARR (0.2% growth), which suggests a slight down-tick to organic ARR growth ests. 4Q rev guide was $6.80b-$6.85b (+10.5%) vs. Street of $6.84b.
- **Freemium Push Momentum:** Total Adobe MAUs surpassed 1b (+20% Y/Y), with Acrobat + Express MAUs above 900m (+25% vs. +20% last qtr) and Acrobat AI Assistant MAUs doubling Q/Q. Creative freemium MAUs surpassed 100m (+70% Y/Y). ADBE's strategy is to drive strong MAU adoption before conversion, but efforts to convert free-to-paid users remain largely unproven at scale.
- **AI Momentum:** AI-first ARR surpassed $650m, increasing ~$150m Q/Q vs. ~$100m last qtr and growing >150% Y/Y, though this only represents ~2.5% of total ARR. Firefly App and credit-pack ARR increased 40% Q/Q, but remains small.
- **Net:** Headline rev outperformance was more than overshadowed by weaker NNARR growth and cRPO deceleration. MAU and AI-first ARR growth were the key positives and support ADBE's intentional strategy, but the market is increasingly competitive and the timing and magnitude of monetization remain the key debate. Anil Chakravarthy becomes CEO in Dec. Shares traded -2% AH but are +26% off late-June lows and trade at a ~12x CY27E GAAP P/E. We continue to see the deceleration construct into single-digit organic growth as an overhang on the stock and valuations. Reiterate Hold & PT of $245 (~12x CY27E GAAP P/E).

AT A GLANCE

Our Investment Thesis

ADBE boasts an attractive business model with high levels of growth visibility and best-in-class margins alongside leading positions in the Content Creation and Digital Marketing markets. It also has a diversified go-to-market motion, including a high-velocity, low-touch digital customer acquisition engine that helps target the long-tail of pro & non-pro creative users. Its family of Firefly Digital Media apps and its end-to-end content supply chain GenStudio platform represents ADBE's newer products in Generative AI, leveraging its own custom-built models. We think ADBE is in a solid position to capitalize on this next technology wave around GenAI, but we believe it will take time to have a meaningful impact and bend its growth curve. ADBE's AI initiatives generally prioritize adoption over monetization in the medium term, which is likely to limit revenue capture, but as ADBE drives broader proliferation & usage of its AI, it should drive strong yields in the longer term.

Forthcoming Catalysts

- MAX Conference (November)
- 4Q Earnings (December)

Base Case Assumptions

- Organic net new ARR growth of -20% in FY26
- Mid/High-teens EPS growth
- ~100bp of operating margin contraction

Upside Scenario

- Organic net new ARR growth of -15% in FY26
- High-teens EPS growth
- ~75bp of operating margin contraction

Downside Scenario

- Organic net new ARR growth of -25% in FY26
- Mid-teens EPS growth
- ~125bp of operating margin contraction

Price Performance



Source: Bloomberg

Company Description

Founded in 1982 and based in San Jose, CA, ADBE provides digital media and marketing solutions that are used by creative professionals, marketers, knowledge workers, application developers, enterprises and consumers. Its solutions include: Creative Cloud, which offers tools and cloud-based services for creating and delivering compelling digital media content; Marketing Cloud, which consists of solutions and services for creating, managing, measuring and optimizing digital advertising and marketing campaigns across multiple channels; and Document Cloud, which consists of the Acrobat family of products and electronic document signature Adobe eSign.

Analyst Top Picks

	Ticker	Price (09/10/2026)	Price Target	Rating
Salesforce.com	CRM	$243.00	$300.00	Buy
ServiceNow	NOW	$131.17	$140.00	Buy
Snowflake	SNOW	$329.72	$450.00	Buy

Overall

- Total revs of $6.76b grew 12% cc (vs. 11% cc last qtr), with growth above our 10% cc estimate and including by our estimate ~$121m (or ~200bps) from the Semrush acquisition. Organic growth of ~10% was above our +8% est. Total ARR of $27.5b grew 11.2% cc (we estimate ~9.2% cc organic with ~$487m from Semrush acquisition), below our estimate of 9.5% on an organic basis. NNARR of ~$400m was down -38% Y/Y, below our -25% estimate. Op margin of 44.0% was slightly below Street of 44.1% & EPS of $6.14 was above Street of $6.08. Total RPO of $22.16b increased 8% cc Y/Y (vs. 12% cc last qtr) with cRPO was up 9% cc (vs. 12% cc last qtr).
- Americas revenue of ~$3.99b grew ~13% (vs. ~8% last qtr), EMEA revenue of ~$1.83b grew ~13% (vs. ~14% last qtr), and APAC revenue of ~$946m grew ~13% (vs. ~10% last qtr).
- Total headcount of 34,206 was down -122 Q/Q (vs. +2,744 last qtr off SEMR acquisition) with Y/Y growth of +9% vs. +8% last qtr. ADBE repurchased 9.5m shares during the qtr (vs. 8.5m/8.1m/7.2m/8.0m/8.6m the prior 5 qtrs).

Business Professional & Consumers

- Business Professionals & Consumers subscription revenue was $1.91b (+15% cc vs. +15% last qtr), above our 13% cc estimate. Growth drivers included 1) double-digit ARR growth across all geographies; 2) Acrobat + Express MAUs surpassing 900m (+25% Y/Y); 3) Acrobat AI Assistant MAUs doubling Q/Q; 4) strong SMB performance across inside sales and the reseller channel; and 5) continued enterprise adoption of Acrobat AI capabilities among ETLA customers; while 6) key customer wins included Amazon, Deutsche Post DHL, Honeywell, JISC, Renault and the U.S. Department of Energy's Los Alamos National Laboratory.

Creative & Marketing Professionals

- Creative & Marketing Professionals subscription revenue was $4.65b (+12% cc vs. +11% last qtr), including ~3pts of growth from Semrush, with organic growth of ~9% cc above our 8% cc estimate. Growth drivers included 1) continued Creative Cloud strength across Teams and Enterprise; 2) Creative freemium MAUs surpassing 100m (+70% Y/Y); 3) Firefly App and credit-pack ending ARR growing 40% Q/Q; 4) continued Firefly Enterprise customer growth, with usage accelerating Q/Q; 5) >20% Y/Y ending ARR growth across each of AEM & agentic web apps, GenStudio and AEP & apps; 6) Brand Visibility paid customers doubling Q/Q; 7) continued strength in enterprise retention; and 8) strength in Subscription Services, driven by Forward Deployed Engineering and strategic value-realization engagements; while 9) enterprise wins included Academy Sports, Alpine Racing, BNP Paribas, Disney, Humana, IKEA, Jet2, Marriott, MSC Cruises, Perficient, Premier League, Publicis, Royal Bank of Canada, Tennis Australia, T-Mobile, Vanguard and Wells Fargo.

Guidance

- 4Q rev guide was $6.80b-$6.85b (+10.5%), vs. Street of $6,841m (+10.5%), including Business Professionals & Consumers sub rev of $1.93b-$1.95b (+12.2%-13.4%) vs our $1,949m (+13.3%) est and Creative & Marketing Professionals sub rev of $4.665b-$4.695b (+9.8%-10.5%) vs. our $4,700m (+10.6%) est. Op margin is expected to be ~44.0% vs. Street at 44.2%. EPS guide of $6.30-$6.35 was above Street of $6.31.
- ADBE raised FY26 guidance, including 1) total rev from $26.50-$26.60b (+11.5%-11.9%) to $26.576b-$26.626b (+11.8%-12.0%); 2) Business Professionals & Consumers sub revs from $7.44b-$7.48b (+14.5%-15.1%) to $7.47b-$7.49b (+14.9%-15.2%); 3) Creative & Marketing Professionals sub rev from $18.21b-$18.27b (+11.7%-12.0%) to $18.242b-$18.272b (+11.9%-12.0%); and 4) EPS from $24.35-$24.45 to $24.45-$24.50. ADBE reiterated its ARR growth target of 10.2% and op margin of ~45%. We note that guidance now includes the acquisition of Topaz Labs, which we estimate to contribute ~$50m or 0.2% growth to ARR in 4Q.

Figure 1 : TD Cowen Estimates vs. Consensus

$ in millions CURRENT QUARTER (Q3:FY26)	Q3 Estimate	Q3 Actual	Consensus	Guidance	Est. % Change	Est. Value Change
Business Professionals & Consumers	*$1,885*	*$1,910*	*$1,878*	*$1,870-$1,890*	*1.3%*	*$25*
Creative & Marketing Professionals	*$4,634*	*$4,650*	*$4,610*	*$4,610-$4,640*	*0.4%*	*$16*
Other	*$191*	*$200*			*4.7%*	*$9*
Total Revenue	**$6,710**	**$6,760**	**$6,694**	**$6,670-$6,720**	**0.7%**	**$50**
Operating Income	**$2,950**	**$2,974**	**$2,952**		**0.8%**	**$24**
Operating Margin	*44.0%*	*44.0%*	*44.1%*	*~44.0%*	*3 bp*	*NM*
Net Income	**$2,399**	**$2,424**	**$2,402**		**1.0%**	**$25**
EPS	**$6.07**	**$6.14**	**$6.08**	**$6.05-$6.10**	**1.1%**	**$0.06**
FCF	**$2,452**	**$2,438**			**(0.6)%**	**($14)**

NEXT QUARTER (Q4:FY26)	Old Q4 Estimate	New Q4 Estimate	Consensus	Guidance	Est. % Change	Est. Value Change
Business Professionals & Consumers	*$1,949*	*$1,948*	*$1,949*	*$1,930-$1,950*	*(0.1)%*	*($1)*
Creative & Marketing Professionals	*$4,700*	*$4,690*	*$4,679*	*$4,665-$4,695*	*(0.2)%*	*($11)*
Other	*$198*	*$207*			*4.3%*	*$8*
Total Revenue	**$6,848**	**$6,845**	**$6,841**	**$6,800-$6,850**	**(0.0)%**	**($3)**
Operating Income	**$2,994**	**$3,027**	**$3,023**		**1.1%**	**$33**
Operating Margin	*43.7%*	*44.2%*	*44.2%*	*~44.0%*	*51 bp*	*NM*
Net Income	**$2,435**	**$2,467**	**$2,456**		**1.3%**	**$32**
EPS	**$6.28**	**$6.34**	**$6.31**	**$6.30-$6.35**	**0.9%**	**$0.05**
FCF	**$3,083**	**$3,145**			**2.0%**	**$62**

CURRENT FISCAL YEAR (FY:26)	Old	New	Consensus	Old Guidance	New Guidance	Est. % Change	Est. Value Change
Business Professionals & Consumers	*$7,464*	*$7,488*	*$7,461*	*$7,440-$7,480*	*$7,470-$6,490*	*0.3%*	*$24*
Creative & Marketing Professionals	*$18,264*	*$18,270*	*$18,242*	*$18,210-$18,270*	*$18,242-$18,272*	*0.0%*	*$6*
Other	*$845*	*$863*				*2.0%*	*$17*
Total Revenue	**$26,574**	**$26,621**	**$26,539**	**$26,500-$26,600**	**$26,576-$26,626**	**0.2%**	**$47**
Operating Income	**$11,924**	**$11,981**	**$11,961**			**0.5%**	**$57**
Operating Margin	*44.9%*	*45.0%*	*45.1%*	*~45.0%*	*~45.0%*	*14 bp*	*NM*
Net Income	**$9,722**	**$9,779**	**$9,757**			**0.6%**	**$57**
EPS	**$24.37**	**$24.49**	**$24.42**	**$24.35-$24.45**	**$24.45-$24.50**	**0.5%**	**$0.12**
FCF	**$10,563**	**$10,611**	**$10,360**			**0.5%**	**$48**

NEXT FISCAL YEAR (FY:27)	Old	New	Consensus	Old Guidance	New Guidance	Est. % Change	Est. Value Change
Business Professionals & Consumers	*$8,161*	*$8,203*	*$8,334*			*0.5%*	*$42*
Creative & Marketing Professionals	*$19,739*	*$19,731*	*$19,776*			*(0.0)%*	*($8)*
Other	*$713*	*$745*				*4.5%*	*$32*
Total Revenue	**$28,613**	**$28,679**	**$28,942**			**0.2%**	**$66**
Operating Income	**$12,804**	**$12,815**	**$12,965**			**0.1%**	**$11**
Operating Margin	*44.7%*	*44.7%*	*44.8%*			*-6 bp*	*NM*
Net Income	**$10,422**	**$10,451**	**$10,546**			**0.3%**	**$29**
EPS	**$27.22**	**$27.38**	**$27.48**			**0.6%**	**$0.15**
FCF	**$10,980**	**$10,984**	**$11,282**			**0.0%**	**$5**

Source: TD Cowen; FactSet; Company Reports

Figure 2 : Operating Metrics (in $ mln)

	FY 24A	Feb Q1:25A	May Q2:25A	Aug Q3:25A	Nov Q4:25A	FY 25A	Feb Q1:26A	May Q2:26A	Aug Q3:26A	Nov Q4:26E	FY 26E	Feb Q1:27E	May Q2:27E	Aug Q3:27E	Nov Q4:27E	FY 27E	FY 28E
Key Subscription Revenue Segments																	
Digital Experience	**$4,864**	**$1,297**	**$1,331**	**$1,368**	**$1,410**	**$5,406**	**$1,470**	**$1,560**	**$1,670**	**$1,680**	**$6,380**	**$1,739**	**$1,782**	**$1,818**	**$1,863**	**$7,202**	**$7,891**
Q/Q Growth		*3%*	*3%*	*3%*	*3%*		*4%*	*6%*	*7%*	*1%*		*3%*	*2%*	*2%*	*2%*		
Y/Y Growth	*12%*	*11%*	*11%*	*11%*	*11%*	*11%*	*13%*	*17%*	*22%*	*19%*	*18%*	*18%*	*14%*	*9%*	*11%*	*13%*	*10%*
Y/Y Growth (cc)	*12%*	*11%*	*11%*	*11%*	*11%*	*11%*	*12%*	*16%*	*21%*	*19%*	*17%*	*18%*	*14%*	*9%*	*11%*	*13%*	*10%*
Y/Y Growth (cc, Organic)							*12%*	*13%*	*12%*	*10%*	*12%*	*10%*	*9%*	*9%*	*11%*	*9%*	*10%*
Creative Cloud	**$9,886**	**$2,623**	**$2,688**	**$2,752**	**$2,840**	**$10,903**	**$2,920**	**$2,980**	**$2,980**	**$3,010**	**$11,890**	**$3,055**	**$3,116**	**$3,147**	**$3,210**	**$12,528**	**$13,296**
Q/Q Growth		*2%*	*2%*	*2%*	*3%*		*3%*	*2%*	*0%*	*1%*		*1%*	*2%*	*1%*	*2%*		
Y/Y Growth	*9%*	*10%*	*10%*	*11%*	*10%*	*10%*	*11%*	*11%*	*8%*	*6%*	*9%*	*5%*	*5%*	*6%*	*7%*	*5%*	*6%*
Y/Y Growth (cc)	*9%*	*11%*	*11%*	*10%*	*10%*	*11%*	*10%*	*9%*	*7%*	*6%*	*8%*	*5%*	*5%*	*6%*	*7%*	*5%*	*6%*
Creative & Marketing Pros Sub Revenue	**$14,750**	**$3,920**	**$4,019**	**$4,120**	**$4,250**	**$16,309**	**$4,390**	**$4,540**	**$4,650**	**$4,690**	**$18,270**	**$4,794**	**$4,898**	**$4,965**	**$5,074**	**$19,731**	**$21,187**
Q/Q Growth		*2%*	*3%*	*3%*	*3%*		*3%*	*3%*	*2%*	*1%*		*2%*	*2%*	*1%*	*2%*		
Y/Y Growth	*10%*	*10%*	*10%*	*11%*	*11%*	*11%*	*12%*	*13%*	*13%*	*10%*	*12%*	*9%*	*8%*	*7%*	*8%*	*8%*	*7%*
Y/Y Growth (cc)	*10%*	*11%*	*11%*	*10%*	*10%*	*11%*	*11%*	*11%*	*12%*	*10%*	*11%*	*9%*	*8%*	*7%*	*8%*	*8%*	*7%*
Y/Y Growth (cc, Organic)							*11%*	*10%*	*9%*	*7%*	*9%*	*6%*	*6%*	*7%*	*8%*	*7%*	*7%*
Business Pros & Consumers Sub Revenue	**$5,663**	**$1,534**	**$1,595**	**$1,650**	**$1,720**	**$6,499**	**$1,780**	**$1,850**	**$1,910**	**$1,948**	**$7,488**	**$1,987**	**$2,019**	**$2,059**	**$2,138**	**$8,203**	**$8,956**
Q/Q Growth		*2%*	*4%*	*3%*	*4%*		*3%*	*4%*	*3%*	*2%*		*2%*	*2%*	*2%*	*4%*		
Y/Y Growth	*19%*	*15%*	*15%*	*15%*	*15%*	*15%*	*16%*	*16%*	*16%*	*13%*	*15%*	*12%*	*9%*	*8%*	*10%*	*10%*	*9%*
Y/Y Growth (cc)	*20%*	*15%*	*15%*	*14%*	*14%*	*15%*	*15%*	*15%*	*15%*	*13%*	*14%*	*12%*	*9%*	*8%*	*10%*	*10%*	*9%*
Customer Group Sub Revenue	**$20,413**	**$5,454**	**$5,614**	**$5,770**	**$5,970**	**$22,808**	**$6,170**	**$6,390**	**$6,560**	**$6,638**	**$25,758**	**$6,781**	**$6,917**	**$7,024**	**$7,211**	**$27,934**	**$30,143**
Q/Q Growth		*2%*	*3%*	*3%*	*3%*		*3%*	*4%*	*3%*	*1%*		*2%*	*2%*	*2%*	*3%*		
Y/Y Growth	*12%*	*12%*	*12%*	*12%*	*12%*	*12%*	*13%*	*14%*	*14%*	*11%*	*13%*	*10%*	*8%*	*7%*	*9%*	*8%*	*8%*
Y/Y Growth (cc)	*13%*	*12%*	*12%*	*11%*	*11%*	*12%*	*12%*	*12%*	*13%*	*11%*	*12%*	*10%*	*8%*	*7%*	*9%*	*8%*	*8%*
Y/Y Growth (cc, Organic)							*12%*	*11%*	*11%*	*9%*	*11%*	*8%*	*7%*	*7%*	*9%*	*7%*	*7%*
Annual Recurring Revenue																	
Net New ARR	**$2,620**	**$450**	**$580**	**$640**	**$920**	**$2,590**	**$400**	**$1,040**	**$400**	**$773**	**$2,613**	**$348**	**$502**	**$476**	**$705**	**$2,032**	**$2,094**
Q/Q Growth		*-48%*	*29%*	*10%*	*44%*		*-57%*	*160%*	*-62%*	*93%*		*-55%*	*44%*	*-5%*	*48%*		
Y/Y Growth		*-15%*	*-5%*	*5%*	*6%*	*-1%*	*-11%*	*79%*	*-38%*	*-16%*	*1%*	*-13%*	*-52%*	*19%*	*-9%*	*-22%*	*3%*
Total ARR		**$23,060**	**$23,640**	**$24,280**	**$25,200**		**$26,060**	**$27,100**	**$27,500**	**$28,273**		**$28,621**	**$29,123**	**$29,599**	**$30,305**		
Q/Q Growth		*1%*	*3%*	*3%*	*4%*		*3%*	*4%*	*1%*	*3%*		*1%*	*2%*	*2%*	*2%*		
Y/Y Growth		*12%*	*11%*	*11%*	*11%*		*13%*	*15%*	*13%*	*12%*		*10%*	*7%*	*8%*	*7%*		
Y/Y Growth (cc)		*12.3%*	*11.8%*	*11.7%*	*11.5%*		*10.9%*	*12.5%*	*11.2%*	*10.2%*		*9.8%*	*7.5%*	*7.6%*	*7.2%*		
Y/Y Growth (cc, Organic)							*10.9%*	*10.5%*	*9.2%*	*8.0%*		*7.7%*	*7.2%*	*7.6%*	*7.2%*		
Total																	
Total Revenue	**$21,505**	**$5,714**	**$5,873**	**$5,988**	**$6,194**	**$23,769**	**$6,398**	**$6,618**	**$6,760**	**$6,845**	**$26,621**	**$6,978**	**$7,112**	**$7,198**	**$7,391**	**$28,679**	**$30,790**
Q/Q Growth		*2%*	*3%*	*2%*	*3%*		*3%*	*3%*	*2%*	*1%*		*2%*	*2%*	*1%*	*3%*		
Y/Y Growth	*11%*	*10%*	*11%*	*11%*	*10%*	*11%*	*12%*	*13%*	*13%*	*11%*	*12%*	*9%*	*7%*	*6%*	*8%*	*8%*	*7%*
Y/Y Growth (cc)	*11%*	*11%*	*11%*	*10%*	*10%*	*11%*	*11%*	*11%*	*12%*	*11%*	*11%*	*9%*	*7%*	*6%*	*8%*	*8%*	*7%*
Y/Y Growth (cc, Adjusted/Organic)							*11%*	*10%*	*10%*	*8%*	*10%*	*7%*	*6%*	*6%*	*8%*	*7%*	*7%*
cRPO		**$13,192**	**$13,271**	**$13,756**	**$14,739**		**$14,887**	**$14,943**	**$14,936**								
Q/Q Growth		*-1%*	*1%*	*4%*	*7%*		*1%*	*0%*	*0%*								
Y/Y Growth		*10%*	*10%*	*10%*	*11%*		*13%*	*13%*	*9%*								
Y/Y Growth (cc)			*10%*	*10%*	*10%*		*11%*	*12%*	*9%*								
Geography																	
Americas	**$12,891**	**$3,428**	**$3,524**	**$3,533**	**$3,654**	**$14,140**	**$3,775**	**$3,905**	**$3,988**								
Q/Q Growth		*2%*	*3%*	*0%*	*3%*		*3%*	*3%*	*2%*								
Y/Y Growth	*11%*	*10%*	*11%*	*9%*	*9%*	*10%*	*10%*	*11%*	*13%*								
EMEA	**$5,554**	**$1,486**	**$1,527**	**$1,617**	**$1,672**	**$6,302**	**$1,727**	**$1,787**	**$1,825**								
Q/Q Growth		*1%*	*3%*	*6%*	*3%*		*3%*	*3%*	*2%*								
Y/Y Growth	*14%*	*13%*	*12%*	*15%*	*14%*	*13%*	*16%*	*17%*	*13%*								
APAC	**$3,060**	**$800**	**$822**	**$838**	**$867**	**$3,328**	**$896**	**$927**	**$946**								
Q/Q Growth		*2%*	*3%*	*2%*	*3%*		*3%*	*3%*	*2%*								
Y/Y Growth	*6%*	*6%*	*8%*	*10%*	*10%*	*9%*	*12%*	*13%*	*13%*								
% of Total Revenue																	
Americas	*60%*	*60%*	*60%*	*59%*	*59%*	*59%*	*59%*	*59%*	*59%*								
EMEA	*26%*	*26%*	*26%*	*27%*	*27%*	*27%*	*27%*	*27%*	*27%*								
APAC	*14%*	*14%*	*14%*	*14%*	*14%*	*14%*	*14%*	*14%*	*14%*								
Headcount																	
Q/Q Change	***764***	***108***	***1,030***	***(327)***	***(160)***	***651***	***224***	***2,744***	***(122)***								
Total Employees		**30,817**	**31,847**	**31,520**	**31,360**		**31,584**	**34,328**	**34,206**								
Q/Q Growth		*0%*	*3%*	*-1%*	*-1%*		*1%*	*9%*	*0%*								
Y/Y Growth		*2%*	*3%*	*2%*	*2%*		*2%*	*8%*	*9%*								

Source: TD Cowen; Company Reports

Figure 3 : Income Statement (in $ mln)

($ MM) NASDAQ - ADBE	FY 24A Total	Feb Q1:25A	May Q2:25A	Aug Q3:25A	Nov Q4:25A	FY 25A Total	Feb Q1:26A	May Q2:26A	Aug Q3:26A	Nov Q4:26E	FY 26E Total	Feb Q1:27E	May Q2:27E	Aug Q3:27E	Nov Q4:27E	FY 27E Total	FY 28E Total
Revenue																	
Product	386	95	88	68	74	325	90	89	67	70	316	78	73	58	61	270	234
Subscription	20,521	5,483	5,641	5,791	5,989	22,904	6,198	6,416	6,582	6,657	25,853	6,802	6,938	7,041	7,226	28,006	30,200
Services and Support	598	136	144	129	131	540	110	113	111	118	452	99	102	99	104	403	355
Total Revenue	**21,505**	**5,714**	**5,873**	**5,988**	**6,194**	**23,769**	**6,398**	**6,618**	**6,760**	**6,845**	**26,621**	**6,978**	**7,112**	**7,198**	**7,391**	**28,679**	**30,790**
Cost of Revenue																	
Product	9	2	2	1	4	8	6	4	3	3	16	4	4	3	3	13	12
Subscription	1,695	452	467	473	500	1,893	536	578	617	637	2,368	668	702	730	764	2,864	3,390
Services and Support	413	96	96	94	91	377	88	87	90	91	356	80	79	81	81	321	285
Total Cost of Revenue	2,116	550	565	568	595	2,278	630	669	710	731	2,740	752	785	814	848	3,199	3,687
Gross Profit	**19,389**	**5,164**	**5,308**	**5,420**	**5,599**	**21,491**	**5,768**	**5,949**	**6,050**	**6,114**	**23,881**	**6,226**	**6,327**	**6,384**	**6,543**	**25,481**	**27,103**
Operating Expenses																	
Sales and Marketing	5,213	1,359	1,491	1,459	1,554	5,863	1,530	1,614	1,553	1,650	6,346	1,640	1,706	1,646	1,752	6,744	7,148
Research and Development	2,992	790	831	850	868	3,339	874	1,013	1,117	1,034	4,038	1,009	1,089	1,117	1,123	4,339	4,627
General and Administrative	1,165	300	312	338	352	1,302	330	377	406	404	1,516	353	398	404	429	1,583	1,637
Total Operating Expenses	9,370	2,449	2,634	2,647	2,775	10,505	2,733	3,004	3,076	3,087	11,900	3,002	3,193	3,167	3,304	12,666	13,413
Operating Income	**10,019**	**2,715**	**2,674**	**2,773**	**2,824**	**10,986**	**3,035**	**2,945**	**2,974**	**3,027**	**11,981**	**3,225**	**3,134**	**3,217**	**3,239**	**12,815**	**13,690**
Other																	
Total non-operating income (expense),	142	13	(10)	(9)	(9)	(15)	(1)	(18)	(18)	(18)	(55)	(19)	(18)	(17)	(16)	(70)	(62)
Pre-Tax Income	10,161	2,728	2,664	2,764	2,815	10,971	3,034	2,927	2,956	3,009	11,926	3,206	3,116	3,200	3,223	12,745	13,628
Income Tax Expense	1,880	504	493	512	521	2,030	546	527	532	542	2,147	577	561	576	580	2,294	2,453
Net Income	**8,281**	**2,224**	**2,171**	**2,252**	**2,294**	**8,941**	**2,488**	**2,400**	**2,424**	**2,467**	**9,779**	**2,629**	**2,555**	**2,624**	**2,643**	**10,451**	**11,175**
Net Income (GAAP)	5,560	1,811	1,691	1,772	1,856	7,130	1,889	1,712	1,827	1,886	7,314	2,019	1,943	1,993	2,028	7,983	8,591
EPS (GAAP)	$12.37	$4.13	$3.94	$4.18	$4.45	$16.70	$4.60	$4.25	$4.63	$4.84	$18.31	$5.23	$5.07	$5.24	$5.38	$20.91	$23.07
EPS	**$18.42**	**$5.08**	**$5.06**	**$5.31**	**$5.50**	**$20.94**	**$6.06**	**$5.96**	**$6.14**	**$6.34**	**$24.49**	**$6.80**	**$6.67**	**$6.90**	**$7.01**	**$27.38**	**$30.00**
Shares Outstanding (Diluted)	450	438	429	424	417	427	411	402	395	389	399	386	383	380	377	382	372
Billings	**$21,814**	**$5,945**	**$5,717**	**$6,188**	**$6,690**	**$24,540**	**$6,738**	**$6,498**	**$6,714**	**$7,277**	**$27,227**	**$7,230**	**$6,797**	**$7,387**	**$7,895**	**$29,309**	**$31,472**
Revenue Mix																	
Product	1.8%	1.7%	1.5%	1.1%	1.2%	1.4%	1.4%	1.3%	1.0%	1.0%	1.2%	1.1%	1.0%	0.8%	0.8%	0.9%	0.8%
Subscription	95.4%	96.0%	96.0%	96.7%	96.7%	96.4%	96.9%	96.9%	97.4%	97.3%	97.1%	97.5%	97.5%	97.8%	97.8%	97.7%	98.1%
Services and Support	2.8%	2.4%	2.5%	2.2%	2.1%	2.3%	1.7%	1.7%	1.6%	1.7%	1.7%	1.4%	1.4%	1.4%	1.4%	1.4%	1.2%
Margins																	
Product	97.8%	98.1%	98.0%	98.7%	95.1%	97.5%	93.8%	95.4%	95.2%	96.2%	95.1%	95.0%	95.0%	95.0%	95.0%	95.0%	95.0%
Subscription	91.7%	91.8%	91.7%	91.8%	91.6%	91.7%	91.3%	91.0%	90.6%	90.4%	90.8%	90.2%	89.9%	89.6%	89.4%	89.8%	88.8%
Services and Support	30.9%	29.4%	33.3%	27.1%	30.5%	30.2%	20.0%	23.0%	18.9%	22.5%	21.1%	19.0%	22.0%	18.4%	22.0%	20.4%	19.9%
Total Gross Margin	**90.2%**	**90.4%**	**90.4%**	**90.5%**	**90.4%**	**90.4%**	**90.2%**	**89.9%**	**89.5%**	**89.3%**	**89.7%**	**89.2%**	**89.0%**	**88.7%**	**88.5%**	**88.8%**	**88.0%**
Sales and Marketing	24.2%	23.8%	25.4%	24.4%	25.1%	24.7%	23.9%	24.4%	23.0%	24.1%	23.8%	23.5%	24.0%	22.9%	23.7%	23.5%	23.2%
Research and Development	13.9%	13.8%	14.1%	14.2%	14.0%	14.0%	13.7%	15.3%	16.5%	15.1%	15.2%	14.5%	15.3%	15.5%	15.2%	15.1%	15.0%
General and Administrative	5.4%	5.3%	5.3%	5.6%	5.7%	5.5%	5.2%	5.7%	6.0%	5.9%	5.7%	5.1%	5.6%	5.6%	5.8%	5.5%	5.3%
Operating Margin	**46.6%**	**47.5%**	**45.5%**	**46.3%**	**45.6%**	**46.2%**	**47.4%**	**44.5%**	**44.0%**	**44.2%**	**45.0%**	**46.2%**	**44.1%**	**44.7%**	**43.8%**	**44.7%**	**44.5%**
Tax Rate	18.5%	18.5%	18.5%	18.5%	18.5%	18.5%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%
Net Margin	**38.5%**	**38.9%**	**37.0%**	**37.6%**	**37.0%**	**37.6%**	**38.9%**	**36.3%**	**35.9%**	**36.0%**	**36.7%**	**37.7%**	**35.9%**	**36.5%**	**35.8%**	**36.4%**	**36.3%**
Sequential Growth																	
Product		17.3%	-7.4%	-22.7%	8.8%		21.6%	-1.1%	-24.7%	5.0%		11.0%	-7.0%	-20.0%	5.0%		
Subscription		2.2%	2.9%	2.7%	3.4%		3.5%	3.5%	2.6%	1.1%		2.2%	2.0%	1.5%	2.6%		
Services and Support		-15.0%	5.9%	-10.4%	1.6%		-16.0%	2.7%	-1.8%	6.0%		-16.0%	3.0%	-3.0%	5.0%		
Total Revenue		**1.9%**	**2.8%**	**2.0%**	**3.4%**		**3.3%**	**3.4%**	**2.1%**	**1.3%**		**2.0%**	**1.9%**	**1.2%**	**2.7%**		
Billings		***-0.2%***	***-3.8%***	***8.2%***	***8.1%***		***0.7%***	***-3.6%***	***3.3%***	***8.4%***		***-0.6%***	***-6.0%***	***8.7%***	***6.9%***		
Gross Profit		2.1%	2.8%	2.1%	3.3%		3.0%	3.1%	1.7%	1.1%		1.8%	1.6%	0.9%	2.5%		
Operating Income		4.6%	-1.5%	3.7%	1.8%		7.5%	-3.0%	1.0%	1.8%		6.5%	-2.8%	2.6%	0.7%		
Net Income		4.3%	-2.4%	3.7%	1.9%		8.5%	-3.6%	1.0%	1.8%		6.5%	-2.8%	2.7%	0.7%		
EPS		**5.5%**	**-0.3%**	**5.0%**	**3.6%**		**10.2%**	**-1.6%**	**2.9%**	**3.2%**		**7.4%**	**-2.0%**	**3.5%**	**1.5%**		
Year-Over-Year Growth																	
Product	-16.1%	-20.2%	-15.4%	-17.1%	-8.6%	-15.8%	-5.3%	1.1%	-1.5%	-4.9%	-2.7%	-13.2%	-18.4%	-13.3%	-13.3%	-14.7%	-13.3%
Subscription	12.2%	11.5%	11.5%	11.8%	11.6%	11.6%	13.0%	13.7%	13.7%	11.1%	12.9%	9.7%	8.1%	7.0%	8.6%	8.3%	7.8%
Services and Support	-10.1%	-7.5%	-0.7%	-11.6%	-18.1%	-9.7%	-19.1%	-21.5%	-14.0%	-10.2%	-16.4%	-10.2%	-9.9%	-11.0%	-11.9%	-10.8%	-11.9%
Total Revenue	**10.8%**	**10.3%**	**10.6%**	**10.7%**	**10.5%**	**10.5%**	**12.0%**	**12.7%**	**12.9%**	**10.5%**	**12.0%**	**9.1%**	**7.5%**	**6.5%**	**8.0%**	**7.7%**	**7.4%**
Billings	***9.4%***	***11.3%***	***17.0%***	***10.0%***	***12.3%***	***12.5%***	***13.3%***	***13.7%***	***8.5%***	***8.8%***	***10.9%***	***7.3%***	***4.6%***	***10.0%***	***8.5%***	***7.6%***	***7.4%***
Gross Profit	11.3%	10.7%	11.0%	11.0%	10.7%	10.8%	11.7%	12.1%	11.6%	9.2%	11.1%	7.9%	6.4%	5.5%	7.0%	6.7%	6.4%
Operating Income	12.3%	10.1%	9.5%	10.3%	8.8%	9.7%	11.8%	10.1%	7.2%	7.2%	9.1%	6.2%	6.4%	8.2%	7.0%	7.0%	6.8%
Net Income	12.3%	8.7%	7.3%	8.3%	7.6%	8.0%	11.9%	10.5%	7.6%	7.6%	9.4%	5.6%	6.5%	8.2%	7.1%	6.9%	6.9%
EPS	**14.7%**	**13.2%**	**12.8%**	**14.4%**	**14.3%**	**13.7%**	**19.4%**	**17.9%**	**15.5%**	**15.2%**	**16.9%**	**12.2%**	**11.8%**	**12.5%**	**10.6%**	**11.8%**	**9.6%**

Source: TD Cowen; Company Reports

Figure 4 : Cash Flow Statement (in $ mln)

	FY 24A	Feb Q1:25A	May Q2:25A	Aug Q3:25A	Nov Q4:25A	FY 25A	Feb Q1:26A	May Q2:26A	Aug Q3:26A	Nov Q4:26E	FY 26E	Feb Q1:27E	May Q2:27E	Aug Q3:27E	Nov Q4:27E	FY 27E	FY 28E
Net Income	**$5,560**	**$1,811**	**$1,691**	**$1,772**	**$1,856**	**$7,130**	**$1,889**	**$1,712**	**$1,827**	**$1,886**	**$7,314**	**$2,019**	**$1,943**	**$1,993**	**$2,028**	**$7,983**	**$8,591**
Depreciation and Amortization	857	217	209	208	184	818	174	193	215	218	800	217	212	212	207	848	779
Stock-based compensation	1,833	475	481	497	489	1,942	509	534	539	524	2,106	539	554	574	554	2,221	2,341
Write down of assets held for sale	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Deferred income taxes	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Unrealized (gains) losses on investments	(35)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Retirements and disposals of property and equipment	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Tax benefit from employee stock option plans	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Excess tax benefits from stock-based compensation	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Gain on sale of property	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Other non-cash items	(381)	(152)	(101)	(101)	(109)	(463)	110	147	71	(200)	128	(100)	(100)	(100)	(100)	(400)	(400)
Changes in Assets and Liabilities:																	
Deferred revenue	309	231	(156)	200	496	771	340	(223)	(46)	432	503	252	(316)	189	505	630	682
Changes in other operating assets and liabilities	(87)	(100)	67	(378)	244	(167)	(64)	(198)	(83)	343	(2)	68	139	(245)	(23)	(60)	(57)
Net Cash Provided by Operating Activities	**$8,056**	**$2,482**	**$2,191**	**$2,198**	**$3,160**	**$10,031**	**$2,958**	**$2,165**	**$2,523**	**$3,204**	**$10,850**	**$2,996**	**$2,433**	**$2,624**	**$3,170**	**$11,222**	**$11,936**
Purchases of short-term investments	438	(401)	(96)	(169)	(194)	(860)	614	(140)	(564)	0	(90)	0	0	0	0	0	0
Maturities of short-term investments	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Proceeds from sales of short-term investments	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Business acquisitions, net of cash acquired	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Purchases of property and equipment	(183)	(26)	(47)	(72)	(34)	(179)	(37)	(58)	(85)	(58)	(238)	(55)	(60)	(61)	(62)	(238)	(257)
Proceeds from sales of property and equipment	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Purchases of long-term investments, intangibles and other	0	0	0	0	0	0	0	0	(19)	0	(19)	0	0	0	0	0	0
Proceeds from sale of long-term investments	(106)	(57)	(135)	(21)	82	(131)	(103)	44	0	0	(59)	0	0	0	0	0	0
Other	0	0	0	(17)	0	(17)	0	(1,560)	0	0	(1,560)	0	0	0	0	0	0
Net Cash Provided by Investing Activities	**$149**	**($484)**	**($278)**	**($279)**	**($146)**	**($1,187)**	**$474**	**($1,714)**	**($668)**	**($58)**	**($1,966)**	**($55)**	**($60)**	**($61)**	**($62)**	**($238)**	**($257)**
Purchases of treasury stock	(9,500)	(3,250)	(3,500)	(2,057)	(2,474)	(11,281)	(2,478)	(2,111)	(2,232)	(2,000)	(8,821)	(2,000)	(2,000)	(2,000)	(2,000)	(8,000)	(8,000)
Cost of issuance of treasury stock	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Proceeds from issuance of treasury stock	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Excess tax benefits from stock-based compensation	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Taxes paid related to settlement of equity awards	(412)	(63)	(112)	142	(94)	(127)	(39)	(91)	86	0	(44)	0	0	0	0	0	0
Proceeds from debt	2,093	1,997	0	0	0	1,997	0	493	0	0	493	0	0	0	0	0	0
Repayment of debt and capital lease obligations	0	(1,500)	0	0	0	(1,500)	0	0	(250)	0	(250)	0	0	0	0	0	0
Repayment of acquired debt	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Other	95	(25)	(176)	39	13	(149)	(27)	(146)	(19)	0	(192)	0	0	0	0	0	0
Debt issuance costs	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Net Cash Provided by Financing Activities	**($7,724)**	**($2,841)**	**($3,788)**	**($1,876)**	**($2,555)**	**($11,060)**	**($2,544)**	**($1,855)**	**($2,415)**	**($2,000)**	**($8,814)**	**($2,000)**	**($2,000)**	**($2,000)**	**($2,000)**	**($8,000)**	**($8,000)**
Effect of foreign currency exchange rates	(9)	(12)	48	8	(10)	34	13	(9)	0	0	4	0	0	0	0	0	0
Net increase in cash and equivalents	**$472**	**($855)**	**($1,827)**	**$51**	**$449**	**($2,182)**	**$901**	**($1,413)**	**($560)**	**$1,145**	**$73**	**$940**	**$373**	**$563**	**$1,109**	**$2,984**	**$3,680**
Cash and equivalents, beginning of period	$7,142	$7,614	$6,759	$4,932	$4,983	$7,614	$5,432	$6,333	$4,920	$4,360	$5,432	$5,505	$6,445	$6,818	$7,381	$5,505	$8,489
Cash and equivalents, end of period	**$7,614**	**$6,759**	**$4,932**	**$4,983**	**$5,432**	**$5,432**	**$6,333**	**$4,920**	**$4,360**	**$5,505**	**$5,505**	**$6,445**	**$6,818**	**$7,381**	**$8,489**	**$8,489**	**$12,169**
Operating Cash Flow	**$8,056**	**$2,482**	**$2,191**	**$2,198**	**$3,160**	**$10,031**	**$2,958**	**$2,165**	**$2,523**	**$3,204**	**$10,850**	**$2,996**	**$2,433**	**$2,624**	**$3,170**	**$11,222**	**$11,936**
OCF Margin	*37%*	*43%*	*37%*	*37%*	*51%*	*42%*	*46%*	*33%*	*37%*	*47%*	*41%*	*43%*	*34%*	*36%*	*43%*	*39%*	*39%*
Y/Y Growth	*10%*	*111%*	*13%*	*9%*	*8%*	*25%*	*19%*	*-1%*	*15%*	*1%*	*8%*	*1%*	*12%*	*4%*	*-1%*	*3%*	*6%*
Free Cash Flow	**$7,873**	**$2,456**	**$2,144**	**$2,126**	**$3,126**	**$9,852**	**$2,921**	**$2,107**	**$2,438**	**$3,145**	**$10,611**	**$2,940**	**$2,373**	**$2,563**	**$3,109**	**$10,984**	**$11,680**
FCF Margin	*37%*	*43%*	*37%*	*36%*	*50%*	*41%*	*46%*	*32%*	*36%*	*46%*	*40%*	*42%*	*33%*	*36%*	*42%*	*38%*	*38%*
Y/Y Growth	*13%*	*116%*	*13%*	*8%*	*9%*	*25%*	*19%*	*-2%*	*15%*	*1%*	*8%*	*1%*	*13%*	*5%*	*-1%*	*4%*	*6%*
Operating Cash Flow Per Share	**$17.98**	**$5.67**	**$5.11**	**$5.18**	**$7.58**	**$23.54**	**$7.21**	**$5.38**	**$6.39**	**$8.23**	**$27.20**	**$7.75**	**$6.35**	**$6.90**	**$8.41**	**$29.41**	**$32.05**
Y/Y Growth	*13%*	*120%*	*19%*	*15%*	*15%*	*31%*	*27%*	*5%*	*23%*	*9%*	*16%*	*8%*	*18%*	*8%*	*2%*	*8%*	*9%*
Free Cash Flow Per Share	**$17.57**	**$5.61**	**$5.00**	**$5.01**	**$7.50**	**$23.12**	**$7.12**	**$5.24**	**$6.17**	**$8.08**	**$26.60**	**$7.61**	**$6.19**	**$6.74**	**$8.24**	**$28.78**	**$31.36**
Y/Y Growth	*16%*	*125%*	*19%*	*14%*	*16%*	*32%*	*27%*	*5%*	*23%*	*8%*	*15%*	*7%*	*18%*	*9%*	*2%*	*8%*	*9%*

Source: TD Cowen; Company Reports

VALUATION METHODOLOGY AND RISKS

Valuation Methodology

Software:

Our valuation methodology is primarily based on Enterprise Value to Free Cash Flow (EV/FCF), followed by Price-to-Earnings (P/E). However, this varies by company; for instance, we will often use Enterprise Value to Revenue (EV/Revs) or a discounted cash flow (DCF) analysis for software companies that are primarily subscriptions-based, or for growth companies that have recently entered the public equity markets.

We make investment recommendations on certain early stage, pre-revenue companies based upon an assessment of their business model, technology, probability of market success, and the potential market opportunity, balanced by an assessment of applicable risks. Such companies may not be assigned a price target.

Investment Risks

Software:

The global economy or specific end markets significantly worsen, contracting IT spending and impairing software growth. The rate of SaaS/Cloud adoption slows, resulting in prolonged sales cycles and higher-than-anticipated quarterly volatility across much of our coverage universe. Competition increases materially, driving deflationary pricing pressure and compressing margins. In particular, innovation by new entrants in the software sector often produces solutions with similar or better functionality at materially lower prices than incumbents' legacy offerings.

Risks To The Price Target

- Promotional activities and pricing changes can create elevated fluctuations in new subscriber adds quarterly net new ARR, impacting stock volatility.
- As the Creative Cloud business matures, more growth is likely to come from lower ARPU products that could weigh on overall revenue growth if volumes don't offset blended ARPU contraction.
- The evolving landscape of new generative AI vendors in the space could impact pricing power, new customer generation & retention.
- Faster-than-expected GenAI monetization could help drive faster-than- expected monetization and drive strong reacceleration in growth.
- Faster-than-expected down-market conversion of free-to-paid users could more effectively monetize its top-of-funnel.
- Capex needs for new AI models may not be as intense as expected, leading to stronger margin dynamics.

ADDENDUM

Stocks Mentioned In Important Disclosures

Ticker	Company Name
ADBE	Adobe Systems
CRM	Salesforce.com
NOW	ServiceNow
SNOW	Snowflake

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Buy (1): The stock is expected to achieve total return of +15% or more over the next 12 months

Hold (2): The stock is expected to achieve a total return that falls between -10% to +15% over the next 12 months

Sell (3): The stock is expected to achieve a total return of -10% or below over the next 12 months

Suspended (4): Due to evolving circumstances and potential conflicts of interest, we can no longer generate what we consider a defensible rating at the current time

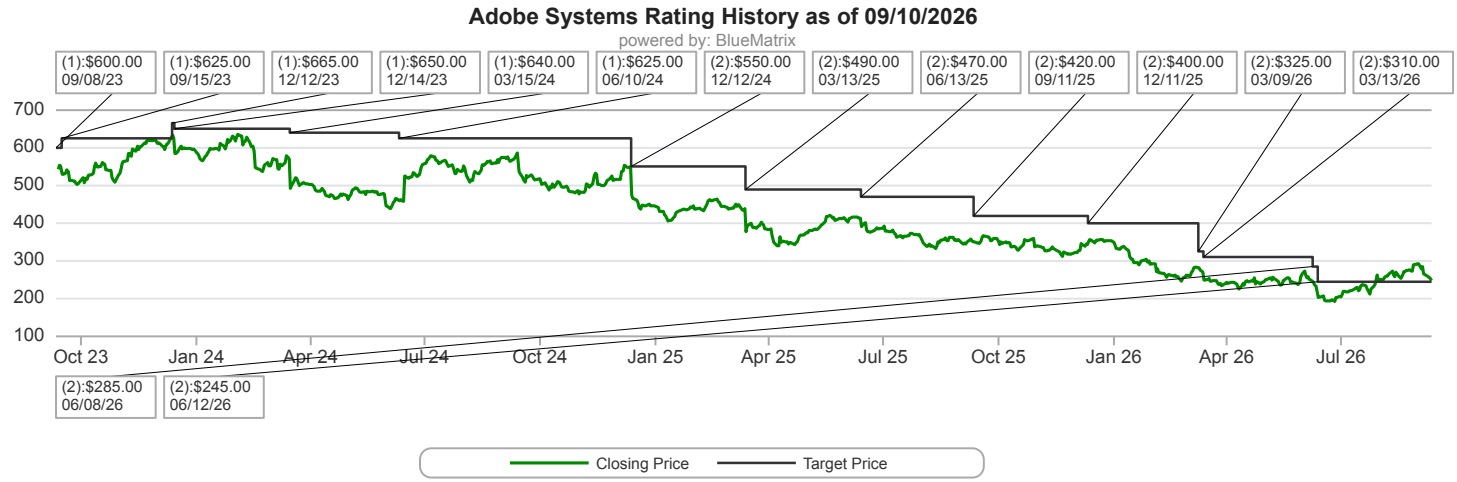
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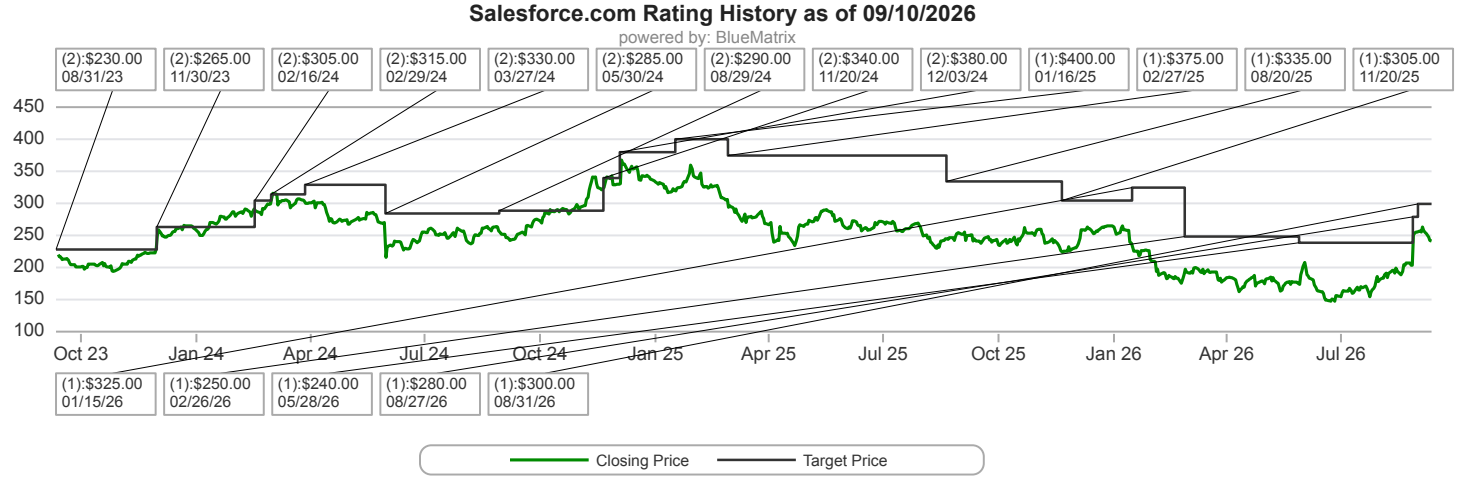
TD Cowen Equity Research Rating Distribution

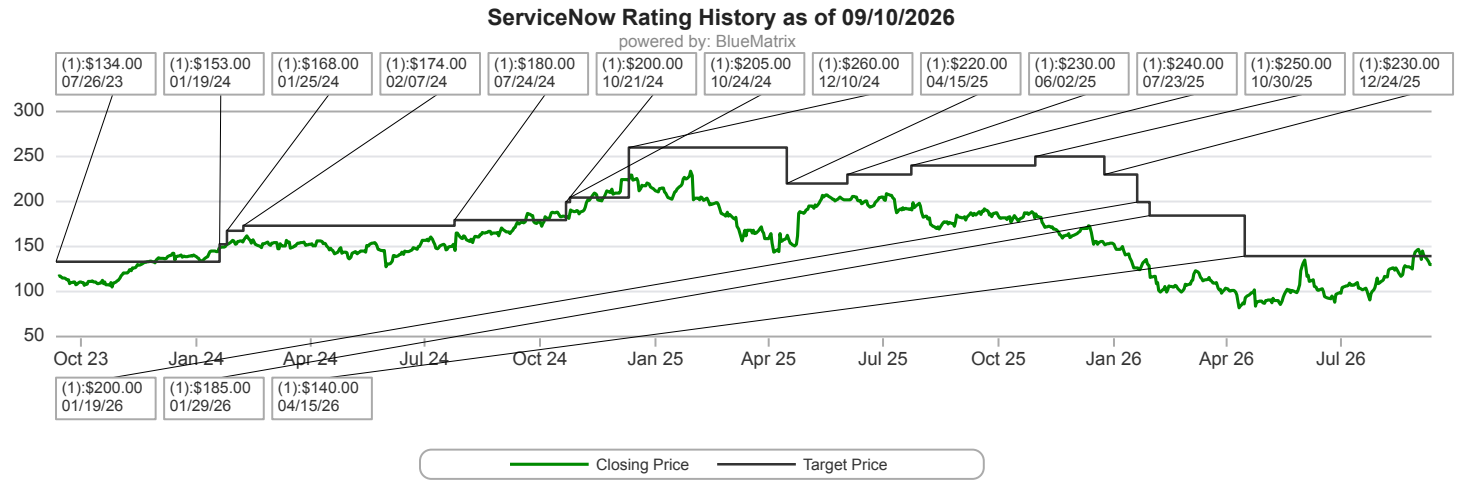
Distribution of Ratings/Investment Banking Services (IB) as of 06/30/26

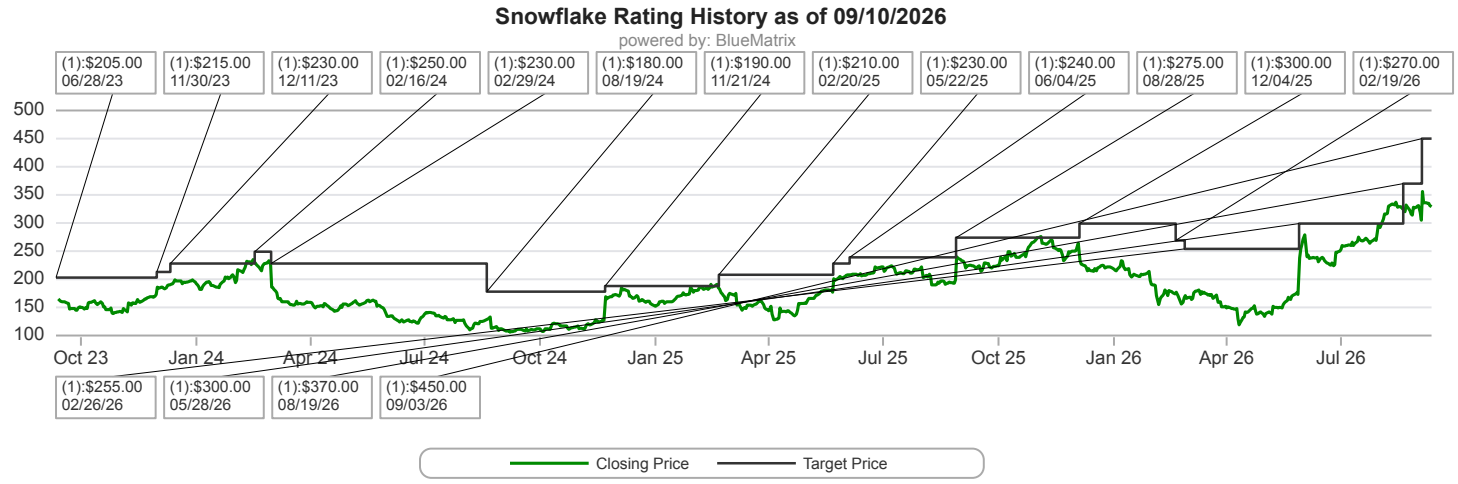
Rating	Count	Ratings Distribution	Count	IB Services/Past 12 Months
Buy	868	66.92%	348	40.09%
Hold	416	32.07%	130	31.25%
Sell	13	1.00%	4	30.77%

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Legend for Price Chart:

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